Incentivizing Nepali Exports: A Comparative Evaluation of Cash-Based Export Subsidies and Production-Based Initiatives

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Executive Summary

From FY24 to FY25, Nepal's economy shifted from 3.7 percent to 4.6 percent. In accordance with this increase, Nepal's imports and exports also leaped by 13.3% and 81.8%, respectively. The largest exporters were India and China, with an increased export of goods such as soybean oil, polyester yarn and thread, jute goods, and tea. At the same time, the country faced increased imports from India and China, with a focus on goods such as transport equipment, vehicles, and spare parts, as well as rice/paddy, and edible oil, among others. The current account and Balance of payments also reached a surplus of $3.01 billion and $4.37 billion in FY25, compared to the previous year's surplus of $1.67 billion and $3.77 billion, respectively. While the country faces a surplus in CA and BoP, it faces a trade deficit of 1527.09 billion, widening the gap (6% increase from the previous year).

The GoN had been using a cash-based incentive system since 2011, giving exporters 4-8% incentives. This allowed the value of the exported goods to be less directly linked to helping them become more competitive because exporters would essentially be paid a certain percentage of their exports. But as of November 2026, Nepal will no longer qualify for special international assistance under the LDC (Least Developed Countries) category. Instead, it hopes to transition to production-based incentives, which are more in line with WTO regulations. By offering subsidies, tax breaks, and other benefits, these incentives seek to boost home manufacturing.

Although the cash-based incentives now in use provide exporters with instant support, they put a burden on public coffers and may deter efficiency improvements. While there is a chance that exports and investment could temporarily decline during the transition, production-based incentives, on the other hand, better address this issue by promoting sustained growth by raising the nation's overall productivity. Instead of continuing with cash subsidies, the government should continue the shift to production-based incentives, given Nepal's approaching LDC graduation and need for sustained competitiveness.

Policy proposal

As Nepal graduates from LDC status, it stands to lose benefits such as concessional loans, preferential market access, and intellectual property exemptions for

pharmaceuticals. However, this transition also signals a stronger international image and a more favorable investment environment for Nepal. Since Nepal is the first LDC to graduate without meeting the economic criterion of surpassing an income level of US$1,306, sustaining its economy will require new strategies. The main argument of this paper is that Nepal should transition from cash-based to production-based incentives to ensure long-term economic stability and export competitiveness. Initiatives like NTIS 2023, which aim to boost the export volume of prioritized products such as lentils, juice, handmade paper, and aromatic oils, align with this goal. Ultimately, increasing domestic production is crucial for reducing the country's trade deficit and supporting sustainable growth after graduation.

Graduation from LDC is expected to reduce total exports from Nepal by 2.5%-4%, with the largest impact on textiles, which is expected to be reduced by 3%, and clothing, which is expected to be reduced by 13%. Thus, continuing with cash-based incentives would help exporters in the short run, increasing the competitiveness of the product for a short while. Graduation from LDC would lead to exporters, especially those in the private sector, having difficulty managing without the facility of the LDC benefits that it previously provided. And in accordance with WTO compliance, Nepal will be ineligible to provide export subsidies on non-agricultural products, making it even harder for exporters to sustain in the competitive international market.

Production-based incentives reward firms for increasing output, which can drive employment to increase and contribute to increasing overall economic growth. By increasing domestic production, Nepal can also reduce its reliance on imports, directly helping to improve its current trade deficit. Encouraging increased production through these incentives would also prompt technological advancement and innovation in the firms, attracting foreign investment into the country. However, production-based incentives may cause sectoral imbalance, as some sectors are more favored for the beneficiaries over others, which could decrease production, and the eligibility criteria must be set carefully. Proper government funding and implementation are essential to ensure effectiveness and to prevent an undue burden on the government if the outcomes do not meet expectations. There is also a risk of initial export decline during the transition from cash-based to production-based incentives. It is also to be noted that to gain more benefits from the government, the firms may go to a bidding war, aggressively decreasing their prices. Despite these challenges, a clear shift toward production-based incentives remains integral to the main argument for Nepal's economic strategy post-graduation.

As stated by a paper published by the UNCTAD, “preferences from developed countries and regional trading arrangements are helpful but limited. Instead, domestic supply constraints and policies are usually much more important,” which leads to the conclusion that for the longevity of the country's economic sustainability after graduation

from LDC, it requires the country to increase its manufacturing capacity as it is stated as an essential method of export diversification.

As Nepal will lose many of the unilateral schemes provided by the UN in accordance with the WTO, like DFQF, RoO, SDT that would have previously exempted Nepalese exports from tariffs, volume restrictions, and single stage transformations that allowed for the goods to be cheaper and eventually more attractive in the international market but as these benefits will be removed with the graduation Nepal should be more focused on making the production process of the goods for exports cheaper through production based incentive which would not only increase teh total supply of the goods produced but also inctivize new technological innovation to streamline the efficiency of production further domestically both directly contributing to the decrease in price of goods an increase in international demand of the good helping with export competitiveness. Production-based policies that incentivize the use of domestically produced raw materials with additional rewards for the companies that oblige through subsidies or tax rebates, policies that could cheapen other factors of production, such as transportation, wages, electricity, etc., through rebates or additional support from the government. Production-based policies, such as NTIS 2023, have already been established with a focus on marketing and promotion of unique agricultural products found in Nepal, paired with the establishment of modern testing labs and upgrading old plant quarantine facilities in Kathmandu, and aligning trade strategies with national plans. The NTIS2023 has also expanded the list of promising export products from 16 to 32 as well. As in the long run it will be crucial for Nepal to have increased production and efficiency, the use of production-based incentives will be more fruitful than cash-based incentives.

Roadmap for implementation

Shifting from a previously cash-based incentive system to a production-based incentive system will require a formal legislative basis to replace "Export Subsidy Work Procedure 2018. As Nepal is currently looking to move toward this system, some preparations in the form of NTIS2023 and the Smooth Transition Strategy (STS) from the Nepal planning commission have been made. These strategies outline the decentralization of NTIS policy for local governments, with four committees to be formed at the central and provincial levels and a National Steering Committee to pass the annual budget, analyze the progress, and give direction to plans. The LDC High-Level National Steering Committee is to be composed of representatives of the provinces, the finance ministry, the national planning committee, and the Ministry of Industry, Commerce, and Supply. Other execution and evaluation committees should also include representatives of

private sector companies like FNCCI and CNI, to report back to the High Level Committee.

While the committees formed can allow for a smoother implementation of the production-based incentives, the shift from cash-based incentives to a product-based incentive system has to happen gradually. The main focus should first be put on the 32 priority products as identified by the NTIS2023, such as spices, lentils, honey, textiles, etc. This can also allow the government the opportunity to assess the effectiveness of the strategies they have implemented on products on a smaller scale and implement or make changes to those strategies on a larger scale, according to that.

To properly monitor the initiatives, the LDC Graduation Monitoring and Evaluation Committee is to be formed at a federal level, which would be responsible for coordinating with relevant ministries and agencies to evaluate the Implementation of policies. This committee is to include representatives from NPC, private companies, development partners, and any other relevant ministries. To properly analyze and gather the market data and facilitate the trade of multilateral goods and services, additional responsibilities should be added to the committees. Real-time digital platforms should also be created, and the distribution of the incentives should largely be digitized and kept under close monitoring of the LDC graduation committees or any other government agencies to stop companies from claiming the beneficiaries more than once. Creating these committees, policies, and implementing such changes would already be placing intensive financial pressure on the government, thus lowering the financial burdens faced by the GoN the incentives provided after the implementation of production-based incentives should largely be based upon non-cash incentives such as tax exemptions, or utility rebates, not putting a smooch pressure on the government's immediate cash flow.

While NTIS2023 aims to boost exports, the previous version of this strategy had failed due to implementation challenges of poor coordination between government agencies, poor infrastructure, lack of proper monitoring, and inadequate quality of the export, which directly reflected itself in the 21.4%decrease int he export in 2022/23. The long hiatus of the Board of Trade also ignites concerns about the proper implementation of NTIS2023 as well. Besides these concerns, problems related to the cost of changing to a production-based incentive system are due to the high costs that are sure to arise because of transportation costs, and also the long legal formalities and WTO compliance that need to be addressed before its implementation.

Impact Assessment

While trade accounts for more than 40%of the economy, exports account for a small minority of the trade, causing a large trade deficit in the country. Production-based incentives aim to reduce the trade deficit not only by increasing domestic production but

also by increasing the potential of promising exports from Nepal as a whole. In the long run, production-based incentives would be beneficial to all, including the country itself, as this would help solve the root problem that causes product prices to be inflated: low productivity and inefficient production. But if the graduation process of Nepal is to be delayed, then using cash-based incentives for the time being while slowly shifting to a more production-based incentive would be most beneficial for Nepal, as a sudden shift can cause the exports to decrease that can not only widen the trade deficit for the short run but also cause exporters to be even more demotivated to produce. But even then, cash-based incentives put more pressure on public finances, limiting the government's ability to fund other sectors such as infrastructure, health, and others. Production-based incentives would also allow the government to improve its capacity to spend on other sectors as well.

But as production-based incentives require significant changes to be made in the firms to meet the needed target of production, only large companies that have enough capital to increase their production capacity might be able to benefit, causing other smaller firms to lag. The shift to production-based incentives would also require significant changes to occur in government policies and develop facilities like data collection to allocate the benefits, which could potentially lead to the administrative costs of the government increasing, and also cause problems in the proper implementation of the policy as well.

The positive benefit of the implementation of the production-based incentive can be best represented through the effects of India`s PLI scheme launched in 2020, which originally started covering a small sector, Mobile Manufacturing and Specified Electronic Components, Critical Key Starting materials/Drug Intermediaries, and Active Pharmaceutical Ingredients and Manufacturing of Medical Devices, and, and was then expanded to cover other 13 key sectors of the economy. The PLI scheme was able to increase the productionof the mobile manufacturing industry by 146% from ₹2.13 lakh crore in FY 2020-21 to ₹5.25 lakh crore in FY 2024-25 causing india to become a major smartphone exporter along with that it has also helped india reduce its import and increase its exports with india being able to transition from a net importer (₹1,930 crore deficit in FY 2021-22) to a net exporter of bulk drugs (₹2,280 crore surplus in FY 2024-25). By March of 2025, investments were predicted to reach approximately ₹1.76 lakh crore. The PLI was successfully able to create around 12 lakh jobs in the country and Rs 16.5 lakh crore of sales. The adoption of the PLI scheme was able to further strengthen India's manufacturing base, turning India into an export powerhouse. Similar to India, Nepal can also utilize the production-based incentives to strengthen the manufacturing sector and reduce import reliance.

Bangladesh had previously used cash-based incentives of 5-20% to support its exports, the incentives being provided to more than 40 sectors of the country, but this was decreased to a maximum of 15% in light of the country's nearing LDC graduation. In

accordance with WTO rules, Bangladesh will not be allowed to lose preferential markets and, even more importantly, eliminate its export subsidies. The country is looking to slowly phase out their cas based incentives. According to a paper from the NUS, total removal of the cash-based subsidies could cause a short-term dip in total exports of around 1.5-1.6%, and imports to possibly rise by 1.37% pairing the phase out of the cash based incentives with redirected savings or simply reallocating funds more efficiently would have helped the country to substantially mitigate their loses (for eg: to poor rural households like50% cut in subsidies transferred) could cause the GDP to rise by 0.81%). Similar to Bangladesh, which is soon to graduate from LDC, Nepal should focus on reducing the reliance of exporters upon cash-based incentives even more so, as unlike Bangladesh, Nepal, on the other hand, did not meet the economic criteria for WTO graduation. Graduating from the LDC would thus grant Nepal more disadvantages as it will lose all its previous benefits front he WTO, possibly causing the economy, especially the trade, to have disastrous consequences without the proper implementation of production-based incentives to strengthen the country's manufacturing capacity.

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